

**Rich people manage their money well.
Poor people mismanage their money well.**

Thomas Stanley, in his best-selling book, *The Millionaire Next Door*, surveyed millionaires from across North America and reported on who they are and how they attained their wealth. The results can be summarized in one short sentence: “Rich people are good at managing their money.” Rich people manage their money well. Poor people mismanage their money.

Wealthy people are not any smarter than poor people; they just have different and more supportive money habits. As we discussed in Part I of this book, these habits are primarily based on our past conditioning. So first, if you’re not managing your money properly, you were probably programmed not to manage money. Second, there’s a better than good chance you don’t know how to manage your money in a way that’s easy and effective. I don’t know about you, but where I went to school, Money Management 101 wasn’t offered. Instead we learned about the War of 1812, which of course is something I use every single day.

It may not be the most glamorous of topics, but it comes down to this: the single biggest difference between financial success and financial failure is how well you manage your money. It’s simple: to master money, you must manage money.

Poor people either mismanage their money or they avoid the subject of money altogether. Many people don’t like to manage their money because, first, they say it restricts their freedom, and second, they say they don’t have enough money to manage.

As for the first excuse, managing money does not restrict your freedom—to the contrary, it promotes it. Managing your money allows you to eventually create financial freedom so that you never have to work again. To me, that’s real freedom.

As for those who use the “I don’t have enough money to manage” rationale, they’re looking through the wrong end of the telescope. Rather than say “when I have plenty of money, I’ll begin to manage it,” the reality is “when I begin to manage it, I’ll have plenty of money.”

Saying “I’ll start managing my money as soon as I get caught up” is like an overweight person saying “I’ll start exercising and dieting as soon as I lose twenty pounds.” It’s putting the cart before the horse, which leads to going nowhere...or even backward! First you start